



Module - 3

Introduction to Organisational Behaviour

Organisational Behaviour–Introduction, Meaning, History of Organisational Behaviour, Organisational effectiveness, Organisational learning process, Stakeholders, OB in a global context.

Introduction

ORGANISATION: An organization is a group of people working together in a formally organized way to achieve a common objective. The main objective is profit maximization.

BEHAVIOUR: It is how a person behaves. It is an observable and measurable activity of human being.

Meaning of Organizational Behavior

Organizational Behavior (OB) is the study of how people interact within groups in an organizational setting. It focuses on understanding, predicting, and influencing individual and group behavior to improve organizational effectiveness and achieve goals.

Definitions of OB

According to Stephen P Robbins - “Organisational behaviour is a field of study that investigates the impact that individuals, groups and structure have on behaviours within the organizations for the purpose of applying such knowledge towards improving an organizations effectiveness”.

According to Fred Luthans - “Organisational behaviour is directly concerned with the understanding production and control of human behaviour in organization”.

According to Raman J Aldag – “Organisational behaviour is a branch of the social sciences that seeks to build theories that can be applied to predicting, understanding and controlling behaviour in work organizations”.

By analysing these definitions, we can define OB as a behavioural Science that states about:

- Nature of Man.
- Nature of the Organization.
- Knowledge of human would be useful in improving an organization’s effectiveness.



History of Organizational Behavior

Organizational Behavior (OB) has evolved over centuries, shaped by changing work environments, societal values, and advancements in various disciplines like psychology, sociology, and management. Its development can be categorized into distinct eras:

1. Pre-Scientific Era (Before the 19th Century)

- Work was primarily based on manual labor, craftsmanship, and agricultural production.
- There was little systematic study of human behavior in organizations.
- Workers were seen as mere tools to complete tasks, with little concern for motivation or job satisfaction.
- Key influences: Early military organizations, religious institutions, and trade guilds that focused on hierarchy and discipline.

2. Classical Era (Late 19th to Early 20th Century)

- This era focused on **efficiency, productivity, and scientific management** in organizations.
- Key contributors:
 - **Frederick Taylor (Scientific Management)** – Introduced time-and-motion studies, emphasizing task specialization and efficiency.
 - **Henri Fayol (Administrative Theory)** – Identified key management principles such as planning, organizing, leading, and controlling.
 - **Max Weber (Bureaucratic Theory)** – Proposed a structured organization with clear hierarchy, rules, and roles.
- Organizations were seen as machines, with employees expected to follow strict procedures for maximum output.

3. Human Relations Movement (1930s–1950s)

- This era emerged in response to the limitations of classical management theories, recognizing the **importance of human emotions, social interactions, and motivation** at work.
- Key contributors:
 - **Elton Mayo (Hawthorne Studies)** – Discovered that social relationships and employee attention improve productivity more than physical work conditions.

- **Abraham Maslow (Hierarchy of Needs)** – Proposed that employees have different levels of needs, from basic survival to self-actualization.
- **Douglas McGregor (Theory X and Theory Y)** – Suggested that management attitudes towards employees influence their motivation and performance.
- The focus shifted from rigid structures to understanding how human behavior impacts organizational success.

4. Behavioral Science Era (1950s–1970s)

- This era incorporated principles from **psychology, sociology, and anthropology** to develop a more scientific approach to understanding employee behavior.
- Key concepts:
 - **Motivation theories** (Herzberg's Two-Factor Theory, McClelland's Need Theory).
 - **Leadership theories** (Lewin's Leadership Styles, Fiedler's Contingency Model).
 - **Group dynamics and organizational culture** were studied in depth.
- Organizations began using psychological testing, surveys, and research to improve workplace conditions and employee performance.

5. Modern Era (1970s–Present)

- The modern era emphasizes **complexity, adaptability, and a global perspective** in organizational behavior.
- Key developments:
 - **Contingency Theory** – No single best way to manage; it depends on situational factors.
 - **Systems Theory** – Organizations are dynamic systems influenced by internal and external environments.
 - **Emotional Intelligence (Daniel Goleman)** – Importance of emotional and social skills in leadership.
 - **Diversity, Inclusion, and Ethics** – Modern workplaces focus on diverse workforces, ethical leadership, and corporate social responsibility (CSR).
 - **Technology and Digital Transformation** – Artificial Intelligence (AI), remote work, and automation have changed how organizations function.

Organizational Effectiveness

Organizational Effectiveness refers to an organization's ability to achieve its goals and objectives efficiently and successfully while maintaining sustainability and adaptability in a dynamic environment. It measures how well an organization performs and fulfills its purpose in relation to its resources, strategy, and stakeholder expectations.

Organizational effectiveness refers to how an organization has achieved full self-awareness due in part to: Leaders setting well-defined goals for employees and outlining ways to efficiently execute those goals. Management implementing clear decision-making processes and communication pipelines.

Organizational effectiveness is defined as an extent to which an organization achieves its predetermined objectives with the given amount of resources and means without placing undue strain on its members

The various approaches to organizational effectiveness are;

- **Goal approach** – The goal approach refers to optimal profit by offering the best service that will lead to high productivity.
- **System-resource approach** – The system resource approach puts its onus on the interdependency of processes that align the organization with its environment.
- **Functional approach** – The functional approach assumes that the organization has already identified its goals, and now the focus should be upon attainment of these goals and how to serve society.

Factors Influencing Organizational Effectiveness

- **Leadership:** Strong and visionary leaders who inspire, motivate, and guide employees.
- **Culture:** A positive organizational culture that aligns with values and fosters engagement.
- **Structure:** An organizational design that supports efficient decision-making and accountability.
- **Strategy:** Well-defined and executed strategies that align with the organization's mission and goals.

- **Technology:** Leveraging appropriate tools and systems to streamline operations and improve outcomes.
- **Employee Engagement:** Motivated and skilled employees who are committed to the organization's success.

Organizational Learning

Organizational learning is the process of creating, retaining, and transferring knowledge within an organization. An organization improves over time as it gains experience. From this experience, it is able to create knowledge. This knowledge is broad, covering any topic that could better an organization.

Organizational Learning is the process by which an organization acquires, develops, and transfers knowledge to improve its performance and adaptability. It enables businesses to innovate, grow, and respond to environmental changes effectively.

Key Aspects of Organizational Learning:

- **Knowledge Acquisition** – Gathering data through experience, research, and external sources.
- **Knowledge Sharing** – Distributing insights across teams through communication and collaboration.
- **Knowledge Retention** – Storing and documenting knowledge for future use.
- **Continuous Improvement** – Learning from past experiences to enhance decision-making and efficiency.

Types of Organizational Learning

1. Double-loop learning: This type of organization learning leads to a change in a theory that has been used. The organization detects and corrects the error and then changes its entire strategies, values, and assumptions that were till now governing its actions.

Inspection>Error>New policy>Learning

2. Single-loop learning: This type of organizational learning is connected to error correction. Single-loop learning includes a single feedback loop when an unexpected and undesired result leads to modification in a strategy. create a better and productive environment.

Error>New Policy>Learning

3. Deutero learning: This type of organization learning deals with the process of the learning system to improve the system itself. Deutero learning includes behavioural and structural components that emphasize “learning how to learn.”

If an organization is interested in improving its learning processes, it must include all the above the forms of organizational learning.

The various forms of organizational learning are as follows -

- 1. Individual learning:** In this form of learning an individual gains knowledge through formal training or experience
- 2. Continuous Learning:** In this type of learning, the organization provides development opportunities to its employees through various programs
- 3. Learning through empowerment:** In this type of learning, the teams can gather more information because of their increased responsibilities
- 4. Embedded Systems Learning:** In this type of learning, knowledge is gained directly from the various systems in the organization like work-flow system, operational and process systems, learning management systems, etc.
- 5. Learning from the leadership:** In this type of learning, employees learn directly and indirectly from the action and behaviour of their leaders as they are their role models
- 6. Dialogue and Inquiry Learning:** The three methods. In this type of learning, it is possible to gain knowledge through conversations and dialogues.
- 7. Team Learning:** In this type of learning the team has to undergo formal as well as informal learning to gain knowledge.

Stakeholder

A stakeholder is a party that has an interest in a company and can either affect or be affected by the business. The primary stakeholders in a typical corporation are its investors, employees, customers, and suppliers.

A stakeholder is any individual, group, or organization that has an interest in or is affected by a business, project, or decision. Stakeholders can influence or be influenced by an organization’s operations, success, and policies.

Types of stakeholders:

Stakeholders can come from a variety of connections to the organization or project. The most common types of stakeholders include the following:

- **Customers** usually expect organizations to deliver products of value.
- **Employees** are often project stakeholders, who want to contribute to a project that is related to their job.
- **Owners** supply an organization's equity and capital and are responsible for organizational goals.
- **Investors** are shareholders, who invest in organizations in exchange for financial returns and often receive regular financial reporting on the companies they invest in as well as voting power in major decisions.
- **Creditors**, such as banks and bondholders, lend money to an organization to be paid back with interest.
- **Suppliers** are vendors that supply materials and products to organizations and have an interest in their business and the projects they pursue.
- **Communities** have an interest in businesses being healthy, safe and beneficial to local economies. Businesses create jobs and business for local communities. Environment, sustainability and governance (ESG) are increasingly important values for consumers and investors.
- **Governments** collect taxes from companies and their employees.
- **customers**, whose satisfaction with a product or project is the end goal of a project plan;
- **project managers**, who manage and lead a project;
- **project sponsors**, who finance a project;
- **project team members**, who are the employees executing a project.

Internal vs. External stakeholders:

Stakeholders are individuals or groups that have an interest in an organization's success. They are classified into internal and external stakeholders based on their relationship with the organization. Internal stakeholders are people who directly work for or own a business, while external stakeholders are people who are indirectly affected by the business.

Difference Between Internal and External Stakeholders

Aspect	Internal Stakeholders 🏢	External Stakeholders 🌐
Definition	Individuals or groups within the organization who directly influence its operations.	Individuals or groups outside the organization who are affected by its activities.
Role	Actively involved in decision-making and daily operations.	Indirectly influence or are influenced by the organization's actions.
Examples	Employees, Managers, Owners, Board of Directors.	Customers, Suppliers, Government, Competitors, Community.
Interest	Job security, career growth, business success, profitability.	Product quality, ethical practices, financial performance, social responsibility.
Influence Level	Direct control over business activities and policies.	Limited control but can impact reputation, market presence, and regulations.
Dependency	The organization depends on them for operations.	They depend on the organization for products, services, or regulations.
Example Scenario	A company's CEO makes strategic decisions for growth.	Customers demand better quality products, influencing business practices.

Stakeholders vs. Shareholders: What is the difference?

The terms shareholder and stakeholder are sometimes used interchangeably, but they're actually quite different. A shareholder is someone who owns stock in your company, while a stakeholder is someone who is impacted by (or has a “stake” in) a project you're working on.

Difference Between Stakeholders and Shareholders

Aspect	Stakeholders 🌐	Shareholders 📈
Definition	Individuals or groups affected by or influencing a business.	Individuals or entities that own shares in a company.
Scope	Broader – Includes employees, customers, suppliers, government, and community.	Narrower – Only includes those who have invested in company stock.
Interest	Concerned with long-term business success, ethics, and sustainability.	Primarily focused on profitability, stock price growth, and dividends.
Control	May have influence but do not own the company.	Partial owners of the company with voting rights.
Profit Dependence	Not always directly affected by company profits.	Directly affected by company profits and stock performance.
Example	Employees want fair wages, customers want quality products, and governments ensure compliance.	Investors buy shares expecting financial returns.

Organizational Behavior (OB) in a Global Context

Organizational Behavior (OB) in a global context examines how individuals, teams, and organizations function across different cultures, economies, and regulatory environments. As businesses expand internationally, understanding diverse workforces, leadership styles, and communication patterns becomes essential for success.

OB in a global context is essential for multinational companies. Successful global businesses embrace cultural diversity, adapt leadership styles, enhance communication, and prioritize ethical practices to thrive in an international market.

Key Points on Organizational Behavior (OB) in a Global Context 🌐

1. Cultural Differences & Cross-Cultural Management

- Adaptation to diverse work ethics, traditions, and values.
- Use of frameworks like **Hofstede's Cultural Dimensions** to understand cultural variations.

2. Global Leadership Styles

- Leadership approaches vary (Autocratic, Democratic, Transformational).
- Need for situational leadership based on cultural expectations.

3. Communication in a Global Workplace

- Overcoming language barriers and non-verbal communication differences.
- High-context (indirect) vs. Low-context (direct) communication styles.

4. Diversity, Equity, and Inclusion (DEI)

- Managing a multicultural workforce with different backgrounds and perspectives.
- Encouraging inclusive policies to boost innovation and employee satisfaction.

5. Workplace Ethics & Corporate Social Responsibility (CSR)

- Aligning with **global ethical standards** while respecting local regulations.
- Focus on **fair labor practices, sustainability, and anti-corruption policies**.

6. Technology & Remote Work Challenges

- Managing virtual teams across different time zones.
- Ensuring digital collaboration and productivity in a globalized work environment.

7. Global Talent Management

- Hiring, training, and retaining employees in international markets.
- Offering competitive benefits and career growth opportunities worldwide.

8. Legal & Regulatory Compliance

- Understanding international labor laws, taxation, and business regulations.
- Ensuring compliance with **local employment and trade policies**.

9. Employee Motivation & Engagement

- Different motivational factors across cultures (monetary vs. non-monetary rewards).
- Implementing flexible work policies to accommodate diverse needs.

10. Adaptability & Continuous Learning

- Organizations must **continuously evolve** to meet global business demands.
- Investing in **cross-cultural training and leadership development** programs.
